Kapil Gakhar vs Central Bureau Of Investigation on 11 November, 2025

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ BAIL APPLN. 3505/2025
KAPIL GAKHAR
Through: Mr
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versus
CENTRAL BUREAU OF INVESTIGATION .....Respo
Through: Mr. Atul Guleria, SPP with Ms.
Aatrayi Chatterjee, Mr. Aryan
and Mr. Prashant Upadhyay, Adv
CORAM:
HON'BLE MR. JUSTICE RAVINDER DUDEJA
ORDER

% 11.11.2025

1. This is an application filed on behalf of the applicant for the grant of regular bail in case FIR No. RC2212025E0006 registered at P.S. EO-III Delhi.

Submissions of the Applicant:

> 2. Learned senior counsel for the applicant submits that the investigation in the present case is complete and the charge sheet has been filed. The applicant has been in custody since 28.05.2025. It is submitted that the allegations against the applicant pertain to offences under Sections 61(2), 318(4), 319(2), 308 of the BNS, 2023 (Sections 120B, 420, 419, 384 of the IPC), and Sections 66C, 66D, and 66 read with 43 of the Information This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 11/11/2025 at 21:56:34 Technology Act, 2000. The case of the prosecution is based on a source information received by the CBI to the effect that a Japanese national was allegedly defrauded through the internet by certain persons who, by creating fear in his mind that his computer systems were being hacked, induced him to provide his mobile number and certain access tools which enabled them to gain control of his system. Through this access, the perpetrators allegedly hacked into his computer systems, extracted financial data, and defrauded him of approximately Rs. 60 lakhs.

3. It is further submitted that there is no specific complainant in the present case and that the said Japanese national, from whose account the money was allegedly transferred, has not been examined by the investigating agency. The prosecution alleges that the defrauded amount was transferred on three occasions and subsequently converted into Bitcoin, and that the applicant, being a Bitcoin trader, had purchased certain Bitcoins from the market, including some allegedly linked to the said transactions. It is further submitted that Bitcoins, being a tradable digital asset, can be freely exchanged in the open market, and therefore, mere purchase thereof does not establish culpability. The Bitcoin wallet of the applicant has already been seized and stands frozen by the investigating agency. Submissions of the CBI/Respondent:

4. Learned SPP for the CBI submits that the investigation has revealed that Bitcoins worth approximately Rs. 60 lakhs were found in the applicant's Bitcoin wallet without any sale consideration, and no receipts or documentary evidence have been furnished by the applicant to substantiate any legitimate transaction. It is on this basis that the said wallet was frozen. The funds fraudulently transferred from the legitimate bank account of the This is a digitally signed order.

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5. A portion of these funds was converted into cryptocurrency via the Binance platform by purchasing approximately 2.10646958 Bitcoins. Records from Binance confirm that the wallet address, mobile number, and user ID through which these Bitcoins were received were registered in the name of the Applicant/accused, with corresponding KYC credentials including his Aadhaar and email details. The investigation further established that the applicant received multiple Bitcoin transfers from the fraudulent source addresses on 17th and 20th April 2024. The learned Special Prosecutor submits that the applicant played an active role in receiving and further transferring the proceeds of crime derived from the fraudulent inducement of the Japanese victim, thereby facilitating the laundering of illicit funds through cryptocurrency channels. It is further submitted that the applicant has not cooperated with the investigation, has refused to disclose This is a digitally signed order.

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transferred by him remain untraced, and he may still have access to those funds.

Rebuttal Submissions of the Applicant

6. Learned senior counsel for the applicant in rebuttal, submits that the charge sheet does not attribute any role to the applicant in opening or operating the alleged "safe account," and the only connection drawn is that a portion of Bitcoin allegedly moved from the Japanese victim's Binance account to that of the applicant. It is submitted that even as per the charge sheet, only 0.09896656 BTC (approximately 6,313.41 USDT) was received by the applicant from another source address, and that the status report itself records that only one of three transactions was directly credited to his Binance account while two were indirect. The applicant has been unable to produce further details of his Bitcoin transactions as his account stands frozen by the investigating agency. The Trial Court, in its order dated 21.08.2025, also noted that even the prosecution does not have access to the password-protected documents and thus cannot provide them to the accused. It is further submitted that during investigation, the applicant disclosed that one Kartik Narang, his business partner, had instructed him to receive and transfer the Bitcoins. It is submitted that the applicant had co-operated in the investigation and gave the name of the main accused. The applicant has cooperated throughout, joined investigation multiple times, and since all evidence is documentary in nature, his continued custody is unnecessary. Analysis and Conclusion:

> 7. Having considered the submissions advanced on behalf of the parties and upon perusal of the material on record, it emerges that the gravamen of This is a digitally signed order.

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8. It is pertinent to note that the investigation in the present case stands concluded and the charge sheet has already been filed. The applicant has been in custody since 28.05.2025 and no further custodial interrogation has been sought by the prosecution. The entire case is founded on documentary and digital evidence, which has already been collected and is in the possession of the investigating agency. The applicant's bank accounts, Binance wallet, and other financial instruments have been seized and frozen, thereby ruling out the possibility of tampering with the evidence or dissipating the alleged proceeds of crime. The continued incarceration of the applicant would therefore serve no further investigative purpose.

9. This Court also takes note that the applicant has cooperated during the course of investigation and has disclosed the identity of his business associate, Kartik Narang, who, as per the Status Report, has also joined the investigation. The prosecution's contention that the applicant may have access to untraced funds remains speculative in the absence of any material indicating concealment or obstruction by him. Furthermore, the applicant is This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 11/11/2025 at 21:56:34 not alleged to have any role in inducing the complainant or in the operation of the so-called "safe account." His alleged involvement arises only from receipt of cryptocurrency, which, as contended, is a tradable asset freely exchanged in the market, thereby requiring proof of knowledge or intent which is a matter of trial.

10. In Sanjay Chandra v. CBI (2012) 1 SCC 40, the Supreme Court held that the primary purpose of bail is to secure the accused's presence at trial, not to punish or preventively detain. Detention before conviction must be based solely on necessity, as pre-trial imprisonment carries a punitive element and contravenes the constitutional presumption of innocence. The Court emphasized that bail decisions must balance individual liberty with societal interests, and refusal of bail should not serve as a form of punishment or moral disapproval, as such reasoning undermines the very foundation of the criminal justice system, the relevant paragraphs read as under;

> "21. In bail applications, generally, it has been laid down from the earliest times that the object of bail is to secure the appearance of the accused person at his trial by reasonable amount of bail. The object of bail is neither punitive nor preventative. Deprivation of liberty must be considered a punishment, unless it is required to ensure that an accused person will stand his trial when called upon. The courts owe more than verbal respect to the principle that punishment begins after conviction, and that every man is deemed to be innocent until duly tried and duly found guilty.
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> 22. From the earliest times, it was appreciated that detention in custody pending completion of trial could be a cause of great hardship. From time to time, necessity demands that some unconvicted persons should be held in custody pending trial to secure their attendance at the trial but in such cases, "necessity" is the operative test. In this country, it would be quite contrary to the concept of personal liberty enshrined in the Constitution that any person should be punished in respect of any matter, upon which, This is a digitally signed order.
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> The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 11/11/2025 at 21:56:34 he has not been convicted or that in any circumstances, he should be deprived of his liberty upon only the belief that he will tamper with the witnesses if left at liberty, save in the most extraordinary circumstances.

> 23. Apart from the question of prevention being the object of refusal of bail, one must not lose sight of the fact that any imprisonment before conviction has a substantial punitive content and it would be improper for any court to refuse bail as a mark of disapproval of former conduct whether the accused has been convicted for it or not or to refuse bail to an unconvicted person for the purpose of giving him a taste of imprisonment as a lesson.
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> 25. The provisions of CrPC confer discretionary jurisdiction on criminal courts to grant bail to the accused pending trial or in appeal against convictions; since the jurisdiction is discretionary, it has to be exercised with great care and caution by balancing the valuable right of liberty of an individual and the interest of the society in general. In our view, the reasoning adopted by the learned District Judge, which is affirmed by the High Court, in our opinion, is a denial of the whole basis of our system of law and normal rule of bail system. It transcends respect for the requirement that a man shall be considered innocent until he is found guilty. If such power is recognised, then it may lead to chaotic situation and would jeopardise the personal liberty of an individual."

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46. We are conscious of the fact that the accused are charged with economic offences of huge magnitude. We are also conscious of the fact that the offences alleged, if proved, may jeopardise the economy of the country. At the same time, we cannot lose sight of the fact that the investigating agency has already completed investigation and the charge-sheet is already filed before the Special Judge, CBI, New Delhi. Therefore, their presence in the custody may not be necessary for further investigation. We are of the view that the appellants are entitled to the grant of bail pending trial on stringent conditions in order to ally the apprehension expressed by CBI.

11. Considering the above circumstances, the completion of investigation qua the present applicant, the applicant's period of incarceration, and the documentary nature of the evidence, this Court is of the view that no useful purpose would be served by keeping the applicant in further custody.

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a) The applicant shall regularly appear before the trial court as and when directed;

b) that applicant shall not try to contact any of the prosecution witnesses and shall not directly or indirectly threaten or intimidate the witnesses;

c) the applicant shall remain available on the address, to be given to the IO and shall not leave the State of Delhi/NCT without the permission of the learned Trial Court;

d) In case of change of residential addresses and/or mobile number, the applicant shall intimate the same to the Investigating Officer/ Court concerned by way of an affidavit; and

e) Upon being released, applicant shall share his mobile number to the IO and shall keep the same operational all the times.

12. In view of the above, the bail application alongwith any pending application, if any, stand disposed of.

13. Nothing stated herein shall tantamount to be an expression in the merits of the case.

14. A copy of this order be sent to Jail Superintendent for necessary compliance.

RAVINDER DUDEJA, J NOVEMBER 11, 2025/na This is a digitally signed order.

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